

AI-Native Private Real Estate Fund

Thesis Mining Framework & Investment Thesis Catalog

Part 1: The Thesis Mining Framework

How We Find Alpha Others Can't See

Our process is not standard real estate analysis. Standard analysis asks: *where are cap rates good?* We ask a different thing: **where is the market using old data, old cost models, or old ways of running buildings to set prices?**

Every thesis must pass through six filters. If it fails any one, it's not a thesis. It's a trade.

Filter 1: The Structural Gap

A thesis must find a **structural** gap in pricing. Not a cyclical one. Structural means the cause is baked into how capital flows, how buyers make choices, or how costs land. Not where we are in the cycle.

Three types of gaps we look for:

Capital flow blind spots. Big funds have minimum check sizes. They have geo biases. They have asset class rules. These create gaps they can't touch. When 86% of new builds target Class A luxury at 200+ units, the 10 to 50 unit Class B/C segment gets zero new supply. Not because returns are bad. Because the work of running them doesn't fit how big funds operate. Our AI model kills that problem. Every thesis should find a segment that big capital *can't* reach at its scale. Not one it *won't*.

Data gaps. Markets price assets on top-line numbers: cap rates, vacancy, rent growth. But those numbers hide huge swings in real costs. Insurance. Property tax. Utility bills. These can move true yields by 150 to 300 basis points between markets that look the same on paper. A data gap thesis asks: *what does the market not factor into pricing?* Then it builds models to exploit that gap over and over.

Timing gaps. Job growth data is public. Permit data is public. But real estate pricing moves slow. Cap rates in a market with fast job growth may not shift for 12 to 24 months. A timing thesis finds markets where the leading signals (jobs, permits, people moving in, wages rising) have already turned. But asset prices haven't. The alpha lives in the lag.

Filter 2: The "Why Now?" Gate

Every thesis needs a time-bound trigger. If the chance has been there for five years and could last five more, it's not a thesis. It's a fact about the world. We look for three trigger types:

Supply shock. Starts fell 53% from the 2023 peak. New supply hitting the market drops hard in 2027 and 2028. Markets that had too many units are filling up *now*. The pipeline to replace them doesn't exist. This creates a window. It's real. It's timed. Occupancy tightens and rents rise before new builds can respond.

Forced selling. The \$1.5 trillion loan wall (2025 to 2027) is making owners sell. Not because their buildings are bad. Because their debt broke. These are quality assets from sellers who *must* move. The volume of forced deals peaks within a clear window.

Cost splits. Insurance, property tax, and rules don't change fast. But they pull apart over years in ways the market fails to price. When one state's premiums jump 53% in a year while another stays flat, the cost gap between markets grows for good. Windows open when the split speeds up past what old models predict.

Filter 3: The AI Edge

A thesis only works if we can run the asset better than the next buyer. For our fund, the edge is AI-native property ops, deal review, and capital moves. Every thesis must answer: **how does our AI stack create a cost or speed edge that a normal operator can't copy?**

This isn't tech for its own sake. It's about the math. If AI cuts costs by 15 to 25% on a 30-unit building, a 6.5% cap rate becomes a 7.8 to 8.2% true yield. That's above the cost of agency debt. That margin doesn't exist for shops running old staffing models. Our AI edge must be a real number for every thesis: how many basis points of yield does it add, and does that make the deal work at *today's* rents and *today's* vacancy? No growth needed.

Three AI gains we model:

- **Fewer people.** One person plus AI does what used to take 3 to 4. Savings: \$400K to \$600K per year across a 500-unit book.
 - **Faster screening.** AI review lets us look at 10x more deals per week. In a market where speed matters (forced sellers, short windows), this is a sourcing edge. Not just a time saver.
 - **Better tenants.** Cash-flow-based checks (bank data, income trends) beat credit scores by 25% in predicting who pays. Lower skips. Lower turnover. Higher real occupancy. Higher NOI.
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Filter 4: The Stress Test

Every thesis must answer one question: **does this deal need everything to go right?**

Three sub-tests:

The "no growth" test. Does the thesis work at today's rents, today's vacancy, and today's costs? Zero change. If yes, growth is gravy. If no, the thesis hangs on guesses. And guesses stack up fast.

The "room to breathe" test. How many things can move against us before the deal breaks? One (rates rise) is fine. Two (rates rise AND vacancy grows) is tight. Three is a walk.

The "real exit" test. Can we sell in 7 to 10 years to a buyer who exists *today*? Not a guess about future buyers. If the exit needs big funds to suddenly care about a market they've never touched, the exit is a hope. If the exit is to a local owner, a 1031 buyer, or an agency-backed buyer, the exit is real.

Filter 5: The Capital Stack

Price is not value. Structure is value. Every thesis must include a plan for how we fund the deal to max out returns, spread risk, and keep the upside.

Four levers we test:

- **Agency debt (Fannie/Freddie Small Loan).** 5 to 7 year fixed, 75 to 80% LTV, no recourse above \$750K. The base case. Works in all our target markets.
- **Seller carry.** When sellers are under pressure (loan wall, estate sales, owners retiring), they'll carry a second note at a rate we set. This can cut blended cost of capital by 50 to 100 basis points.
- **Loan assumes.** Old agency loans at 3 to 4% fixed are still on the books. They're assumable with lender sign-off and a 1% fee. That's a 200+ basis point edge versus new debt. But it takes speed and deal flow to grab them.
- **LP equity.** 10 to 20% from limited partners. More equity means less risk but lower returns. The goal is the *least* equity needed to hold a 1.25x DSCR through a stress case.

The fund that can layer these (bank debt plus seller carry plus LP equity, or an assumed loan plus gap money) builds returns that a single-source buyer can't match. The edge is in how we stack the capital. Not in finding the deal.

Filter 6: The Portfolio Rule

No thesis stands alone. Every thesis must fill a role in a book that has three return types:

- **Stable.** At least one thesis gives us high-occupancy, low-risk cash flow. This pays the bills no matter what.
- **Upside.** At least one thesis grabs outsized returns through deal structure or market bounce. It takes more work. The payoff is worth it.
- **Data moat.** At least one thesis exploits a pricing gap that gets better over time as our own data grows. A flywheel where each buy makes the next one smarter.

If a new thesis copies a role we already have without adding variety, it doesn't get in. No matter how good the solo returns look.

How We Build New Theses

1. **Track leading signals weekly.** Job growth by metro. Starts by market. Insurance loss ratios by state. Where people are moving (IRS, USPS, BofA data). Rent trends (Apartment List, Yardi, CoStar).
 2. **Find the gap.** Where are signals going one way while prices go another? That gap is a thesis seed.
 3. **Run the six filters.** Structural gap. Why now. AI edge. Stress test. Capital stack. Portfolio fit.
 4. **Model it.** Every thesis gets a 10-year DCF with three stress levers: rent growth, vacancy, costs. If the base case fails at zero growth, kill it.
 5. **Go look.** Before we deploy capital, visit the market. Talk to local managers, brokers, and city planners. Data shows what. Boots on the ground show why.
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Part 2: Investment Thesis Catalog

Thesis 1: "The Invisible Supply Wall"

What is it

The building industry spent 2021 to 2024 flooding Sun Belt markets with luxury units. They ignored the Midwest. Now starts have crashed 53%. The Midwest was already short on housing. It's about to enter a 2 to 3 year stretch where almost zero new Class B/C product hits the market.

Small multifamily (5 to 49 units) already runs at 97.2% occupancy. In our target Midwest markets, it's even tighter. We're buying the housing that renters need in markets where demand is growing, supply is frozen, and prices haven't caught up. Big funds still treat the Midwest as flyover country. That bias is our edge.

The alpha is simple: rents are going up in places where nobody is building what people rent.

Why now?

The supply pipeline tells the story. Starts fell from 600,000+ units (2023 peak) to about 280,000 (2025). Since starts take 18 to 24 months to become real units, the drop in new supply hits in 2027 and 2028. But in the Midwest, the cliff already came. Q3 2025 new units fell below the region's own 10-year average. Only region in the country where that happened. Fannie Mae projects outright supply gaps in Chicago (800+ units), Cleveland, and several other Midwest metros through 2026.

Midwest rent growth is now the best of any U.S. region. The cap rate gap between Midwest and West Coast shrank from 123 basis points (2019) to just 32 (Q4 2025). Tightest on record. But a big Class B/C premium still sits there. It exists because old-school operators find small Midwest buildings too hard to manage for the returns they need. Our AI model kills that cost problem. It turns a staffing headache into a 15 to 25% cost edge.

The window is now because building costs (high rates, pricey materials, scarce labor) make it nearly impossible to build new 10 to 50 unit product at a profit. Each quarter without new starts extends the shortage. By the time the market reacts, rents will have already moved.

Data

- **Starts:** Down 53% from 2023 peak. Pipeline shrank 42%, from 1.16M units (Q1 2023) to 690,000 (Dec 2025).
- **Midwest supply:** Fell below 10-year average in Q3 2025. Only U.S. region where this happened.
- **Small multifamily occupancy:** 97.2% (5 to 49 units), 2 full points above all multifamily. Midwest markets run even tighter.
- **Cap rate premium:** Small multifamily trades at 6.0% vs. 5.6% for large. That's 33 to 38 basis points of built-in yield for operators who can manage at this scale.
- **Midwest cap rates:** Average 5.8%, highest of any region, despite best rent growth. Class B/C in target markets: 6.5 to 7.5%.
- **Midwest rents:** Leading all U.S. regions in 2025 to 2026. Cincinnati: 6.3% growth (Berkadia Q2 2025).
- **What's being built:** 86.3% of all new units are Class A luxury, average project 231 units. Zero new 10 to 50 unit Class B/C pipeline exists in our target markets.

- **Agency debt:** Fannie Mae Small Loan at 5.1 to 6.5% fixed, 5 to 7 year terms, 75 to 80% LTV. At a 6.5% cap rate with AI cost cuts, positive leverage works at current rates.

Examples

Grand Rapids, Michigan. Best single market for this thesis. Occupancy tops 97%. Tech jobs growing 4.4% per year. 5,610 net new tech jobs since 2021. Tech wages up 6.8%. Population grew 8% in the past decade, leading all Midwest metros. Household income hit \$80,296, fastest growth rate among peers. The city pulled in \$57M in venture capital through August 2025, beating all of 2024. Average new project size in the region is small (Milwaukee averages 137 units). Almost no one competes for our product type. A 30-unit Class B building here trades at about \$75K to \$95K per unit (\$2.25M to \$2.85M). Right in our range.

Cincinnati, Ohio. Ranked #1 apartment market to watch by RentCafe/Yardi for 2025. The driver is people coming back. Workers who left for Sun Belt cities in 2020 to 2022 are returning now that those markets got expensive and flooded with supply. Rent growth hit 6.3%. Class C cap rates run about 7.5%. The metro's healthcare and factory base provide recession cover that pure tech markets lack.

Columbus, Ohio. Largest jump in multifamily permits year over year (+1,288 units). #2 fastest growing metro for domestic moves (Bank of America Q4 2025). Intel's \$20B+ chip fab expansion is the anchor. It's pulling suppliers and support firms into the metro. The build-out crew for Intel alone adds thousands of trade jobs over the next 3 to 5 years. That's our renter.

Indianapolis, Indiana. #1 for domestic moves in Q3 and Q4 2025. Held the top spot two quarters in a row. Eli Lilly's \$9B+ factory expansion is the anchor. But logistics and shipping (the city sits at the center of the country) bring broad job diversity. Midwest pricing holds: Class B/C at \$65K to \$85K per unit. Indiana caps property tax at 1 to 3% of assessed value. Costs are locked in and easy to forecast.

Thesis 2: "The Broken Capital Stack"

What is it

\$1.5 trillion in real estate loans come due in 2025 to 2027. Many were locked in at 3 to 4% fixed. Owners now face new rates at 6 to 7%+. For a property that was written at a 1.25x debt service ratio with cheap money, the same rent at today's rates doesn't cover the debt. The loan can't get refinanced.

This creates sellers who are forced to move. Not because their buildings are bad. Because their debt broke. The units still have tenants. Rent still comes in. The building works fine. The money structure doesn't.

We buy these at a discount set by the seller's debt problem. Not by the property's real value. Then we rebuild the capital stack: seller-carried second notes, assumed agency loans at old rates, and blended sources that push our cost of capital 100 to 200 basis points below market. We pay less because the seller has no other move. We finance better because we design the deal, not just review it.

Why now?

The loan wall is peaking *right now*. About \$1.0 trillion in CRE loans came due in 2025. Another \$500B+ hits in 2026. Stressed multifamily volume reached \$22.8 billion in Q3 2025, up 18% from the year before. Troubled deal volume climbed from \$1.1 billion (early 2020) to \$13.8 billion (June 2025). This is not a guess. It's in the deal data.

The creative finance world matured at the same time. \$30.3 billion in seller-financed deals closed in 2024 (89,890 deals, up 8%). Normal home sales sit at 30-year lows (~4.09M per year). Over half of all owners with a mortgage have rates below 4%. Each point of rate lock-in cuts the chance of sale by 18%. Creative finance is not a niche. The rate world made it a primary deal channel.

The window closes when either (a) rates drop enough for owners to refi again, killing their need to sell, or (b) big funds deploy enough distress capital to bid prices back up. Neither is fast. The Fed signals a slow rate path. Big distress funds target \$50M+ deals. Our \$1 to \$5M range is below their floor.

Data

- **Loan wall:** ~\$1.0T in CRE loans came due in 2025. \$500B+ due in 2026. Heaviest in multifamily.
- **Distressed volume:** \$22.8B in multifamily classed as stressed (Q3 2025, +18% YoY). Troubled volume: \$13.8B rolling 12 months (June 2025), up from \$1.1B in early 2020.
- **Rate lock-in:** 52.5% of owners with a mortgage have rates below 4%. Each 1 point of lock-in cuts sale odds by 18% (FHFA).
- **Seller finance volume:** \$30.3B in 2024. 89,890 deals (+8% YoY). Texas leads at 25.1% of total.
- **Normal sales:** ~4.09M per year (Feb 2026). A 30-year low.
- **Private lending surge:** Private and alt lenders now do 24% of CRE volume, up from a 10-year average of 14%.
- **Loan assumes:** Old Fannie/Freddie multifamily loans can be assumed with lender sign-off and a 1% fee. Loans at 3 to 4% fixed save 200+ basis points versus new debt.
- **Stack math:** A 40-unit building with seller carry (15 to 20% at 5%) plus Fannie Small Loan (65% LTV at 5.5%) = blended cost of about 5.3% against a 7%+ cap rate = 170+ basis points of positive leverage. No rent growth needed.

Examples

Huntsville, Alabama. Top pick for this thesis. Vacancy jumped to 18 to 19% after 6,500 units landed in 2024. That matched the prior 12 years of building combined. Panic pricing followed: per-unit costs fell to \$186,652, below the \$206,100 national average. But the pipeline is drying up fast. Only 3,200 units are in progress heading into 2026. The demand engine is not going away: Redstone Arsenal (37,000+ jobs), Cummings Research Park (27,000 jobs), Lockheed Martin's \$115M build-out, 2.3% jobless rate vs. 3.9% nationally, and average household income of \$108,150. The surplus is a 12 to 18 month event. The demand is a 20-year story. Sellers facing loan due dates in this soft stretch are the most pushed in the country. A 35-unit Class B property here goes for \$65K to \$80K per unit (\$2.3M to \$2.8M). Add seller carry. Wait for the supply to absorb. The math takes care of itself.

Greenville, South Carolina. Vacancy is already falling: from 12% to 10.3% with solid quarterly fill (299 to 662 units per quarter). State wages up 4.4%, ahead of the 4.1% national pace. Charleston County wages grew 6.2%. South Carolina has some of the lowest property tax rates in the country. BMW's factory campus and the wider factory corridor anchor solid job variety. The Southeast now has the broker and legal networks to run creative deals. Tennessee hit the top 10 for seller-finance volume for the first time in 2024. The tools are in place.

San Antonio, Texas. Texas leads the nation in seller-financed deals at 25.1% of total volume. San Antonio blends military stability (Joint Base San Antonio: 80,000+ workers, largest DoD base), healthcare growth, and pricing that fits our range (\$85K to \$110K per unit for Class B/C). The city absorbed its supply wave before Austin and Dallas did. It's already tightening. The state's deep bench of creative finance brokers makes deal work faster here than in markets where seller carry is still new.

Boise, Idaho. The sharpest recovery in the country. Vacancy dropped 350 basis points from its early 2024 peak. Biggest single-market decline nationally. The oversupply scare of 2023 to 2024 pushed prices down and created forced sellers among small owners who took on too much debt in the boom. Now supply is being eaten up while the build pipeline has gone dry. Micron's \$15B+ fab build gives the same demand story as Huntsville. Mountain West location. No state-level insurance crisis. Moderate property taxes.

Thesis 3: "The Hidden Cost Moat"

What is it

Every investor compares cap rates. Almost nobody compares what happens *after* the cap rate. The real costs that decide how much of that gross yield turns into actual cash.

Insurance for multifamily rose 75% since 2019 on average. But that average hides a wild geographic split. A Fort Lauderdale unit costs \$1,430 to \$1,765 per year to insure. A Tulsa unit

costs \$250 to \$350. That's a \$1,100 to \$1,400 per unit gap that shows up nowhere in a cap rate table. On a 30-unit building, insurance alone creates a \$33,000 to \$42,000 per year NOI edge for the low-cost market.

Stack on property tax: Alabama's rate is 0.38%. Texas is 1.68%. Illinois is 2.07%. On a \$3M buy, that's a \$39,000 per year gap between Alabama and Texas in taxes alone.

Combined, insurance and tax gaps swing true yields by 150 to 300 basis points between markets that look the same on a spreadsheet.

We target markets where low insurance, low taxes, and stable rental demand create a **yield shield**. A lasting, growing edge that widens as insurance costs keep pulling apart. This thesis gets smarter with each deal: every building we buy adds cost data that sharpens our models for the next one.

Why now?

Insurance costs are pulling apart faster, not settling down. The Fed found that multifamily premiums jumped 75% from 2019 to 2024 nationally. Coastal and storm-prone markets saw far steeper spikes (Florida up 53% in a single year in some metros). The key finding: only \$0.28 of every \$1.00 in premium hikes gets passed to tenants as higher rent. Owners eat \$0.72. That means insurance inflation is a direct, ongoing, and mostly unhedgeable NOI hit for owners in high-cost markets. Owners in low-cost markets grab a free yield edge that grows each year.

Property tax paths are splitting too. States with hard caps (Alabama at 0.38%, Oklahoma, Arkansas) offer low, stable tax bills. States without caps (Texas, Illinois) face ongoing re-pricing, especially as values recover. The two trends compound: a market with low insurance *and* low taxes creates an operating cost edge that widens with time. Standard cap rate analysis simply does not capture it.

The AI angle: this thesis is built on data. The edge comes from modeling insurance loss ratios by area, storm risk, state rules, tax reset triggers, and utility costs. Then screening thousands of listings to find where these cost gaps create the widest spread between sticker price and true yield. A normal analyst spends weeks on this per deal. Our AI does it in minutes across hundreds of listings at once.

Data

- **Insurance cost split:**
 - National average: rose from \$39/unit/month (2019) to \$68/unit/month (2024). A 75% jump.
 - Fort Lauderdale: \$1,430 to \$1,765/unit/year (53% YoY spike in some stretches).
 - West Palm Beach: \$1,800+/unit/year.
 - East Houston: \$1,200+/unit/year.

- Las Vegas: \$360 to \$400/unit/year.
- Phoenix: \$350 to \$480/unit/year.
- Midwest/Mountain West: \$250 to \$400/unit/year.
- **Per-building impact:** On a 30-unit property, the insurance gap between Florida and Oklahoma = \$33,000 to \$42,000/year in NOI.
- **Pass-through:** Only \$0.28 of each \$1.00 in premium hikes reaches tenants. Owners absorb \$0.72. (Federal Reserve, September 2025.)
- **Property tax rates:**
 - Alabama: 0.38% (2nd lowest in the nation, no reset on sale).
 - Oklahoma: 0.85%.
 - Arkansas: 0.57%.
 - Texas: 1.68% (high, and repricing risk on buy).
 - Illinois: 2.07%.
 - **Per-building impact:** On a \$3M buy, Alabama vs. Texas = \$39,000/year gap.
- **Combined shield:** In target markets, insurance plus tax savings create 150 to 300 basis points of true yield edge versus high-cost markets.
- **Tulsa cap rates:** 8.2 to 8.9%. Among the highest in the country for a market that's getting better.
- **Tulsa per-unit price:** \$92,650 average. 55% below the \$206,100 national average.
- **Fayetteville vacancy:** Below 4%. Tightest small metro in the U.S. Units lease in 22 days (fastest). 12 people apply for each opening.
- **Fayetteville rent growth:** 5.9% YoY. Led the nation (Cushman & Wakefield Q1 2025).
- **Fayetteville job growth:** 3.6%. Top 3 in the country (BLS December 2025).

Examples

Tulsa, Oklahoma. The purest play in this thesis. Cap rates of 8.2 to 8.9% in a market where jobs are growing 1.4% per year (fastest in its peer group), the build pipeline sits at just 2.3% of stock (second lowest among peers), and occupancy is 93.3% and rising. A 30-unit building costs about \$2.78M at \$92,650 per unit. Right in our range. Oklahoma has low taxes, no insurance crisis, and no storm profile like coastal markets. The yield shield math: at an 8.5% cap rate with \$300/unit insurance and ~0.85% property tax, the true NOI margin is about 200 basis points higher than a 7% cap rate deal in Houston with \$1,200/unit insurance and 1.68% property tax. The Tulsa deal isn't just cheaper. It's more profitable per dollar in.

Fayetteville, Arkansas. The growth version. Vacancy below 4% is the tightest in the nation for a metro this size. Units lease in 22 days. 12 people fight for each one. Rent growth of 5.9% led the

country. Job growth of 3.6% ranked top 3. Anchors: Walmart global HQ, Tyson Foods, J.B. Hunt, University of Arkansas. The city called a housing crisis in 2024. Arkansas has moderate taxes (0.57%) and low insurance. But the hidden driver is the "vendor town" effect: major CPG firms (P&G, Unilever, Nestle, others) keep offices near Walmart HQ. This creates white-collar jobs with above-average income stability in a market with below-average costs. That's the definition of a cost moat.

Birmingham, Alabama. The deep value play. Price-to-rent ratio of 13.2 is very strong for rental buyers (national median is 18+). Alabama's 0.38% tax rate is the single best property tax deal in U.S. multifamily. And Alabama has no reset on sale. Not like California, Florida, or Michigan. The tax edge is locked in and lasting. Birmingham's healthcare sector (UAB Medical Center is the state's largest employer) brings recession cover. A 25-unit Class C building trades at \$50K to \$70K per unit (\$1.25M to \$1.75M). Highest yield entry point in our catalog.

Reno, Nevada. The tax-plus-growth play. Rent growth of 4.9% (Berkadia Q2 2025). Occupancy near or above 96%. No state income tax. Insurance runs \$350 to \$480/unit/year. Tesla's Gigafactory, Switch data centers, and a growing logistics sector (Reno serves as a West Coast shipping hub without California's costs) bring job variety. Nevada's LLC and asset laws add a structural plus for fund setup. Three shields in one: rent growth plus tax edge plus low insurance. Returns compound the longer you hold.

Summary: Three Theses, One Portfolio

	The Invisible Supply Wall	The Broken Capital Stack	The Hidden Cost Moat
Portfolio role	Stability: high-occupancy cash flow	Upside: outsized returns via structure	Data edge: systematic mispricing
Primary markets	Grand Rapids, Cincinnati, Columbus, Indianapolis	Huntsville, Greenville, San Antonio, Boise	Tulsa, Fayetteville, Birmingham, Reno
Target cap rate	6.5 to 7.5%	7.0 to 8.5% (with discount)	7.5 to 8.9%
AI edge	Fewer people to run buildings	Faster screening + faster capital raises	Better cost models for deal picks
Complexity	Low	High	Low to medium
Hold period	7 to 10 years	5 to 7 years	7 to 10 years

	The Invisible Supply Wall	The Broken Capital Stack	The Hidden Cost Moat
What must go right	Nothing. Works at today's rents and occupancy	Vacancy must drop as supply dries up	Nothing. Works at today's cost levels
What could go wrong	MI tax uncap on transfer; auto cycle risk	Rates fall fast (kills seller urgency); defense cuts (Huntsville)	Climate shift to low-risk zones; small metro concentration